



**DIGITAL
RIGHTS
WATCH**

Submission to the AUKUS Inquiry

September 2026

Who we are

Digital Rights Watch is a charity founded in 2016 to promote and defend human rights as realised in the digital age. We stand for privacy, democracy, fairness, and freedom. Digital Rights Watch educates, campaigns, and advocates for a digital environment in which rights are respected, and connection and creativity can flourish. More information about our work is available on our website: www.digitalrightswatch.org.au

Acknowledgement of Country

Digital Rights Watch acknowledges the Traditional Owners of Country throughout Australia and their continuing connection to land and community. We acknowledge the Aboriginal and Torres Strait Islander peoples as the true custodians of this land that was never ceded and pay our respects to their cultures, and to elders past and present.

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Introduction

Thank you for the opportunity to make this submission and the work of this inquiry in giving due scrutiny to an agreement that will have a profound and long-running impact on our nation.

While the focus of this inquiry has been on AUKUS Pillar I for good reason, we ask the committee to recognise the impact of Pillar II on national sovereignty, the rights of our citizens and the way our data could be used in the development of military technology. There is very little to be known about Pillar II - the publicly-available material is remarkably limited.

As presented, the aim is to work with the US and UK to develop autonomous weapons systems - including for use in the air and on the seas. These are the stated ambitions, even though there are serious concerns about the [human rights implications](#) of autonomous weapons. Australia should not be progressing the development of this technology without a clear vision and plan of action for upholding its international legal obligations, including in respect of human rights.

What we do know about AUKUS concerns us

One critical aim of Pillar II is for alignment between the US and Australia on export controls - that is Australia is committing itself to using (in effect) US military technology only, and in exchange, getting access to the most up to date of those technologies. There are two potential problems with this.

Firstly, it means Australia irreversibly aligns with the US. This is a specifically dangerous proposition given our geographic position in the world and our relationship with Pacific neighbours, who understandably might feel [less enthused](#) about such an alignment. More generally, the US administration has shown contemptuous disregard for human rights, as held by populations both foreign and domestic. Alignment with companies like [Anduril](#) is celebrated and encouraged in some quarters as an outcome of AUKUS Pillar II, even though the founders and investors ([Palmer Luckey](#) and [Peter Theil](#)) are closely aligned with authoritarian politics and human rights abuses. Australia is going down a path whereby procurement will be increasingly confined to US companies in circumstances where our values on issues like human rights and democracy are diverging from theirs.

Secondly, we are not currently getting access to those technologies by the US. The Mythos and Fable models by Anthropic are one such example - these were supposedly the best-in-market models but were locked-down by the US around national security concerns. All other countries, including Australia, were denied access for a period. What we can tell from this episode is that the US will prioritise its own interests above all others, including Australia, notwithstanding our supposedly special relationship and our alignment on AUKUS.

What we don't know concerns us even more

For Australians to become comfortable with the obligations and limitations generated by AUKUS Pillar II, at a minimum, we expect the following questions would need to be answered by the Federal Government:

- Does Pillar II expand existing intelligence-sharing alliances beyond their original scope into shared military AI and autonomous weapons systems? If so, what Australian oversight will be available?
- Will Australians be informed if their personal information or civic data sets (collated by governments) are used to train military AI models? If so, how? Is there a way to circumscribe such use or mandate disclosure?
- What role will private US military contractors play in the management of shared technology? How can we guarantee that data collected with other government departments or commercial partners is not integrated into these systems?
- Will contracts between private US military contractors and Australian government departments provide specific protections or limitations against data-sharing with other governments?
- Will Australia retain the capacity to direct or limit how this information is used? For example, where technology from private US military contractors is being used in conflicts that are in breach of our international legal obligations in locations like Gaza?
- Where the Australian government does work with companies connected to US military (e.g. OpenAI, Anthropic), how will the right to exit the relationship be written into the contract?

Who owns the technology created through AUKUS Pillar II?

In considering the above list of questions, it is clear that the potential and boundaries of Pillar II are significant, especially given the complex way in which relevant technology is likely to be developed.

One of the more significant areas of uncertainty concerns intellectual property. Pillar II is intended to facilitate collaborative development across artificial intelligence, autonomous systems, quantum technologies, cyber capabilities, electronic warfare, hypersonics and undersea technologies. Australian companies, universities and researchers are expected to participate alongside their counterparts in the United States and United Kingdom.

What is much less clear is what happens to intellectual property when technologies from these different sources are combined. For example, an Australian company may commence a Pillar II project using an existing technology. A US defence company contributes another technology, while the Australian counterpart provides operational data, testing facilities and expertise. Through the collaboration, the parties develop a new capability that is substantially more valuable than any of the original inputs. It remains unclear who owns that new capability, and what each participant is subsequently permitted to do with it. This includes the limits on its use that might be able to be applied.

This is particularly difficult for Pillar II because much of the technology involved does not fit neatly within a traditional model of a single patented invention. The principal source of value might instead be software, algorithms, model weights, training methods, data, sensor-fusion techniques, system architecture, or improvements generated through repeated testing. Different parties may therefore hold rights over different parts of what ultimately functions as a single military capability.

There are established intellectual-property rules within defence contracting, and individual Pillar II projects can establish their own contractual arrangements. The problem is that there is no single, publicly-articulated, Pillar II intellectual-property framework that provides a straightforward answer across the programme. It is therefore difficult, from publicly available information, to determine how ownership of newly-generated IP will be allocated; what licensing rights governments and participating companies would receive; who would control subsequent modifications, or whether an Australian company would retain the ability to commercialise technology developed through an AUKUS collaboration.

This has particular significance in a context in which Australia's existing international legal obligations (including oversight bodies, such as the International Criminal Court) are the subject of political attacks by the US. Given Pillar II will involve new technologies that are unlikely to neatly fall within existing international legal norms, this poses a significant threat to the entire system of obligations, largely generated through consensus since World War 2.

For Australia, the issue is not just whether Australian technology companies participate in AUKUS projects. It is also whether Australian-origin technology remains associated with Australian ownership, decision-making authority, production, and commercial returns as it is integrated into a much larger trilateral defence technology system. This remains a significant area of opacity in the public architecture surrounding Pillar II and has significant implications for normative values that are central to Australian society.

Specifically, shared software may be difficult to disentangle

There is a related problem with software developed across AUKUS partners. In many Pillar II projects, it may become increasingly difficult to say where Australian technology ends and US or UK technology begins.

An Australian company might contribute autonomous navigation software, for example, while a US company provides sensor processing and a UK partner provides communications technology. Once these systems have been developed and tested together, the resulting capability may depend on all three. The Australian company could still own its original code, but that does not necessarily mean it could take the software away and use or sell the same capability independently.

This matters because software rarely remains static. Code is modified, interfaces are rebuilt, models are trained, bugs are fixed and new functions are added. After several years of joint development, the useful product may bear relatively little resemblance to the separate technologies that each party brought to the project.

AI makes the distinction even harder for a number of reasons. An Australian organisation might contribute training data or specialist methods, a US company might provide the

underlying model, and a UK partner might develop part of the system in which it operates. There may be a legal answer about who owns each component, but that does not necessarily tell us who has effective control over the resulting capability.

The risk for Australia is not necessarily that Australian companies formally lose their intellectual property. It is that Australian technology becomes dependent on foreign software, data, models or systems that the Australian developer cannot use independently. A company could therefore retain ownership of its original technology while losing some of its practical freedom to commercialise it elsewhere.

We also need to know whether Australian technology remains usable outside the shared system, whether it can be separated from foreign components, and whether Australian firms remain free to develop and sell subsequent versions of their technology. Perhaps most importantly, Australia needs the capacity to say no to technology projects where they do not align with our values.

Who ultimately is responsible for how the technology will be used?

There is an ethical question about what happens to Australian technology and data once they enter the AUKUS system. Information will not only be shared between governments. Pillar II relies heavily on military contractors, technology firms, researchers and subcontractors, many of which operate across several countries.

An Australian company may provide software, data or technical knowledge to a US military contractor, which may then work with other contractors, cloud providers and specialist suppliers. There are controls on the transfer of sensitive technology, but it is still important to ask how far Australian information can move through these supply chains, who can access it and what oversight Australia retains.

The issue becomes harder when considering what is learned from Australian technology. A military contractor might be prohibited from sharing Australian source code but still use knowledge gained from working with it. Australian data might be used to improve an AI model that is later deployed elsewhere. At that point, controlling the original data does not necessarily control what has been learned from it.

There is also the question of use. Technology developed for navigation, surveillance or defensive purposes could later contribute to targeting, intelligence collection, or autonomous weapons. Australian companies and researchers may have little influence over those decisions once their technology has been incorporated into a larger system.

The ethical issue is therefore quite practical; when Australia shares data or technology through AUKUS, how far does Australia's responsibility and control extend? At present, there is little to indicate that we are in a position to defend not just our sovereignty, but also and perhaps more importantly, our obligations under international law and human rights instruments we have ratified. This represents an alarming development in the field that we should not allow to proceed without greater scrutiny and responsibility.

Sources

Australian Department of Defence, *AUKUS Advanced Capabilities: Industry Engagement*

<https://www.defence.gov.au/defence-activities/programs-initiatives/aukus-advanced-capabilities/industry-engagement>

Australian Department of Defence, *AUKUS Advanced Capabilities*

<https://www.defence.gov.au/defence-activities/programs-initiatives/aukus-advanced-capabilities>

Australian Department of Defence, *AUKUS licence-free environment*

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